

Business Responsibility Report

About this report

In terms of Regulation 34(2)(f) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Annual Reports of the top one thousand listed entities based on market capitalization at the BSE and NSE shall contain a Business Responsibility Report (BRR) describing the initiatives taken by the Company from an environmental, social and governance perspective, which includes CSL.

The reporting framework is based on the National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVGs) released by the Ministry of Corporate Affairs, Government of India, in July 2011 which contains 9 Principles and Core Elements for each of the 9 Principles. Following is the Business Responsibility Report of our Company based on the format suggested by SEBI.

Section A: General Information about the Company

1. Corporate Identity Number (CIN) of the Company	L63032KL1972GOI002414
2. Name of the Company	Cochin Shipyard Limited
3. Registered address	Administrative Building, Cochin Shipyard Premises, Perumanoor, Ernakulam, Kerala – 682015.
4. Website	www.cochinshipyard.in
5. E-mail id	secretary@cochinshipyard.in
6. Financial Year reported	2021-22
7. Sector(s) that the Company is engaged in (industrial activity code-wise)	Shipbuilding and Ship Repair (Industrial Group 301 and 331 as per National Industrial Classification of the Ministry of Statistics and Programme Implementation)
8. List three key products/services that the Company manufactures/ provides (as in balance sheet)	The Company is engaged in the business of shipbuilding and ship repair. Inter alia considering nature of production process and infrastructure facilities used, there are no other reportable segment.
9. Total number of locations where business activity is undertaken by the Company	
a) Number of International Locations (Provide details of major 5)	Nil
b) Number of National Locations	Five
10. Markets served by the Company – Local/State/National/ International	Local, State, National and International

Section B: Financial Details of the Company

1. Paid up Capital	₹131.54 Crores
2. Total Turnover	₹3190.00 Crores
3. Total profit after taxes	₹586.57 Crores
4. Total spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	₹16.19 Crores 2.76%
5. List of activities in which expenditure in 4 above has been incurred	CSL's CSR activities are carried out in the following focus areas: Health, Nutrition, Education with special focus on COVID related measures including setting up makeshift hospitals and temporary COVID care facilities and COVID vaccination.

Section C: Other Details

1. Does the Company have any Subsidiary Company/ Companies?	Yes, CSL has two Subsidiaries viz., Hooghly Cochin Shipyard Limited (HCSL) and Udupi Cochin Shipyard Limited (UCSL) (formerly known as Tebma Shipyards Limited).
2. Do the Subsidiary Company/ Companies participate in the BR initiatives of parent company? If yes, then indicate the number of such subsidiary company(s)	No. Both the subsidiary companies are in a very nascent stage of their operations and hence have not started to participate in the BR initiatives of CSL.
3. Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]	The Company has adopted well established procedures for outsourcing and procurement activities in order to ensure quality, on time delivery and optimum cost. Care is taken to have a panel of vendors with sound integrity. The Company has introduced e-payment, integrity pact etc., for a more transparent method of procurement. The standard terms and conditions of purchase order conforms to the Company policy on safety, environment etc., and are accepted by the vendor. Hence, majority (more than 60%) conform to the key principles of the business responsibility.

Section D: BR Information

1. Details of Director/Directors responsible for BR	
(a) Details of the Director/Directors responsible for implementation of the BR policy/policies	BR function relating to corporate social responsibility and sustainability was monitored by the Corporate Social Responsibility & Sustainable Development (CSR & SD) Committee of the Board of Directors. The details of the composition of the CSR & SD Committee during 2021-22 is provided in the Corporate Governance Report.
1. DIN	
2. Name	
3. Designation	
	The details of the Chairperson of the Committee are as follows:
	DIN : 09419082
	Name: Shri Nahar Singh Maheshwari
	Designation: Non-official (Independent) Director
	Email ID: nsmaheshwari@cochinshipyard.in
(b) Details of the BR head	The Board has not assigned responsibilities specifically to any Director to function as the BR head.

2. Principle-wise (as per NVGs) BR Policy/policies (Reply in Y/N)

The 9 principles outlined in the National Voluntary Guidelines are as follows:

P1	Businesses should conduct and govern themselves with ethics, transparency and accountability.
P2	Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.
P3	Businesses should promote the well-being of all employees.
P4	Businesses should respect the interests of and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.
P5	Businesses should respect and promote human rights.
P6	Businesses should respect, protect and make efforts to restore the environment.
P7	Businesses when engaged in influencing public and regulatory policy, should do so in a responsible manner.
P8	Businesses should support inclusive growth and equitable development.
P9	Businesses should engage with and provide value to their customers and consumers in a responsible manner.

Sl. No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have a policy/ policies for....	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy being formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	-	Y	Y
3	Does the policy conform to any national / international standards? If yes, specify? (50 words)	Y	Y	Y	Y	Y	Y	Y	Y	Y
		Various policies at CSL conform to different applicable statutes/ guidelines/ rules etc. issued by GOI, and updated from time to time. Industry practices, national/ international standards are kept in view while formulating policies.								
4	Has the policy being approved by the Board? Is yes, has it been signed by MD/ owner/CEO/ appropriate Board Director?	Y	Y	Y	Y	Y	Y	-	Y	Y
		Different policies are approved by the Board/Competent Authorities as per delegation of power.								
5	Does the Company have a specified Committee of the Board/ Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	-	Y	Y
6	Indicate the link for the policy to be viewed online?	The policies are available on Company's website: https://cochinshipyard.in/investor/investor_titles/68								
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Yes. The policies have been communicated to the stakeholders by uploading on the Company's above mentioned website. Quality, Health, Safety and Environmental Policy is uploaded in intranet of the Company as well as CSL's website. The same is also displayed at all major locations of the Company.								
8	Does the Company have in-house structure to implement the policy/ policies?	Yes								
9	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/ policies?	The Board has set up a Committee to address the grievances of the stakeholders, debenture holders and other persons holding securities in the Company as required under the Companies Act, 2013 and under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.								
10	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	The Company is subject to various audits such as Statutory Audit by firm of Chartered Accountants appointed by the Comptroller & Auditor General of India (C&AG), Internal Audit, C&AG Audit, Cost Audit, Secretarial Audit, Energy Audit, Safety Audit, Integrated Management Systems Audit etc. These audits ensure compliance to various internal and external policies.								

3. Governance related to BR

a) Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year

The senior management of the Company reviews BR performance on an ongoing basis. The Board/ Committees constituted by it review the same periodically.

b) Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

Yes. The Company publishes BR Report annually as part of its annual report. The hyperlink for viewing the report: https://cochinshipyard.in/investor/investor_titles/53

Section E: Principle-Wise Performance

Principle 1: Businesses should conduct and govern themselves with ethics, transparency and accountability

1. Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/No. Does it extend to the Group / Joint Ventures / Suppliers / Contractors / NGOs / Others?

The Company has positioned an Integrity Pact which is signed with bidders to enable them to raise any issues with regard to high value tenders of more than ₹100 Lakhs floated from time to time. People of high repute and integrity are appointed as Independent External Monitors to oversee implementation of the said Integrity Pact.

The pact essentially envisages an agreement between the prospective vendors/bidders and CSL committing the persons/officials of both sides, not to resort to any corrupt practices in any aspect/stage of the contract. Any violation of the same would entail disqualification of the bidders and exclusion from future business dealings.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management?

During the year under review, a total of 22 complaints were received from various stakeholders and all the complaints were resolved to their satisfaction.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

The Company is engaged in the business of shipbuilding and ship repair. As such the Company has only one product, which has been designed to incorporate social or environmental concerns as well as benefit from the available opportunities.

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):

(a) Reduction during sourcing / production / distribution achieved since the previous year throughout the value chain.

The Company recognizes its commitment to achieve economic development through sustainable methods. This is proposed to be achieved through employment of appropriate technology, transparency in procurement and outsourcing and participation in sustainable development programmes.

(b) Reduction during usage by consumers (energy, water) has been achieved since the previous year.

CSL has implemented various energy conservation measures viz., installation of solar power plant having capacity of 1622 kWp, electrification of new buildings is carried out with LED lights instead of conventional discharge lamps, replacement of high electricity consuming light fittings with energy efficient LED fittings, replacement of conventional split air conditioner system with VRF air conditioning system, use of energy efficient BLDC/ 5 star fans instead of ordinary ceiling fans, regular monitoring and rectification of leakages in the compressed air distribution system and other industrial gas lines, switching off air compressor during lunch break, switching off main power supply to shops, quays & docks momentarily at 12:00 hrs. which trips man coolers, roof extractors (controlled through starters), etc., which are not required during the lunch break, displayed energy saving stickers & posters, conducted seminar and quiz competition for inculcating awareness among employees for energy conservation aimed at optimum use of electric power, continuously monitoring and maintaining power factor

near unity etc. Energy savings of approximately 3.38 Lakhs units per annum have been achieved with the implementation of measures specified above.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably?

The Company has been following approved criteria for the selection of vendors to ensure sustainable sourcing which inter alia includes vendors having ISO 9000 certification, vendors approved by regulatory bodies, various authorized dealers of the manufacturer, ability to provide materials as per laid down specification and other requirements, ability to supply materials as per stipulated delivery period. Annual evaluation of the orders placed on a vendor is completed to decide the average performance. A vendor is removed / suspended from approved vendor list based on his average performance over the period of evaluation. Vendors list is reviewed and updated once in a year.

4. Has the Company taken any steps to procure goods and services from local and small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

With a view to promote procurement/avail services through local and small producers and service providers including Micro, Small and Medium Enterprises (MSME) as per the Public Procurement Policy 2012 promulgated by the Government of India (GOI), the Company is making all out efforts to increase the procurement/ availing services from MSMEs. The Company has achieved a target of 52%, against the required target of 25% procurement of goods and services from MSMEs, out of total indigenous procurement for FY 2021-22, till March 31, 2022, in spite of COVID-19 pandemic effects and restrictions. SC/ST and women MSME entrepreneurs are also getting benefitted due to CSL's initiatives.

Further, Cochin Shipyard Limited attended a Vendor Development Program for MSME SC/ ST entrepreneurs in Kerala, organised by Department of Industries, Government of Kerala along with Federation of Indian Chambers of Commerce & Industry (FICCI) on November 02, 2021 at Kottayam and also organised a Vendor Development Programme exclusively for MSME SC/ ST and women entrepreneurs on January 06, 2022 in association with FICCI and National Small Industries Corporation (NSIC), at CSL.

Other initiatives include, making CSL website user-friendly for MSME vendors, regular uploading of procurement data and other details in "MSME SAMBANDH" portal, ensuring no vendor application is pending in "MSME SAMADHAAN" portal on delayed payment monitoring system which implies payments to MSME vendors are effected without delay, on boarding of around 180 vendors in TReDS platform etc.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%)?

Due to the nature of products of the Company and the waste generated, mechanism to recycle is not available. However, the wastes are disposed off through agencies dealing in such disposal or recycling and approved by the environmental authorities.

Principle 3: Businesses should promote the well being of all employees

- 1. Total number of employees: 1756 (permanent employees)
- 2. Total number of employees hired on temporary / contractual /casual basis: Average 6500 per day
- 3. The number of permanent women employees: 172
- 4. The number of permanent employees with disabilities: 56
- 5. Do you have an employee association that is recognized by management?

Yes, CSL have four employee association recognised by the management viz.:

- a. Cochin Shipyard Officers Association (CSOA)
- b. Cochin Shipyard Supervisory Staff Association (CSSSA)
- c. Cochin Shipyard Employees Organisation (CSEO)
- d. Cochin Shipyard Employees Federation (CSEF)

6. What percentage of your permanent employees is members of this recognized employee association?

Most executives are members of Cochin Shipyard Officers Association. In the case of permanent workmen, most of them are affiliated to various recognised unions.

7. Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the year.

Sl. No.	Category	No. of complaints filed during the financial year	No. of complaints pending as on end of the financial year
1.	Child labour / forced labour/ involuntary labour	The Company does not hire child labour, forced labour or involuntary labour. No compliant.	Not Applicable
2.	Sexual harassment	1	0
3.	Discriminatory employment	Nil	Nil

8. What percentage of your under mentioned employees were given safety and skill upgradation training in the last year?

Permanent Employees: 100%
Permanent Women Employees: 100%
Casual/Temporary/Contractual Employees: 100%
Employees with Benchmark Disabilities: 100%

Principle 4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.

- 1. Has the Company mapped its internal and external stakeholders?
- 2. Out of the above, has the Company identified the disadvantaged, vulnerable and marginalized stakeholders?

CSL's CSR projects aims at benefiting the disadvantaged, vulnerable and marginalized community who are present across Kerala particularly in remote rural/tribal communities. Further, CSL ensures that the reservation policy as advised by the Government of India (GOI) is implemented. CSL is also involved in improving the quality of life of persons for whom projects are specially designed. The Company has identified (i) SC/ST (ii) differently abled as disadvantaged, vulnerable and marginalized for employment purpose.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders? If so, provide details thereof, in about 50 words or so.

CSL has made commitments for various projects across Kerala in its CSR thrust areas, largely catering to disadvantaged, vulnerable and marginalized stakeholders

viz., education, sanitation & smart class rooms for children, healthcare initiatives for tribal communities, several initiatives for differently abled persons, empowerment of women through income enhancing skill development programmes and other interventions in rural/tribal/semi-urban areas. The Company follows all the GOI regulations regarding reservations for SC/ST and differently abled.

Principle 5: Businesses should respect and promote human rights

1. Does the policy of the Company on human rights cover only the Company or extend to the group/joint ventures/ suppliers/contractors/NGOs/others?

The human resource policies of the Company cover all aspects of human rights of its employees and others associated with it for operation of its business and covers human rights of employees of the subsidiaries also. No complaints have been received in the past financial year on human rights.

The Company is committed to uphold and maintain the dignity of women employees and it has in place a policy which provides for protection against sexual harassment of women at work place and for prevention and redressal of such complaints. During the year under review, the Company has received one such complaint and the same was closed.

The Company is committed to comply with all human rights practices across subsidiaries and other stakeholders associated with the Company.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

During the year under review, a total of 22 complaints were received from various stakeholders and all the complaints were resolved to their satisfaction.

Principle 6: Business should respect, protect, and make efforts to restore the environment

1. Does the policy related to Principle 6 cover only the Company or extends to the group/joint ventures/suppliers/contractors/NGOs/others?

Covers the Company. As a part of the integrated approach of the Company, our commitment to the mother nature is demonstrated through our ongoing effort to reduce the adverse impact on the environment and reinforcing the positive contribution. We strive to achieve this by identifying the significant environmental aspects of its activities and products and developing programmes and processes to reduce or control them with an aim of protecting the environment. During the reporting period, the company has received CII SR EHS Excellence Awards 2021 in the EHS engagement in work force category. The Company also persuades and encourages its business partners/vendors/contractors to move towards environmental friendly processes, right from design to disposal.

2. Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc? If yes, please give hyperlink for webpage etc.

The Company has a detailed manual which describe the common procedures that need to be established for the effective implementation of the environmental management system, meeting the requirements of the international standards ISO 14001:2015.

3. Does the Company identify and assess potential environmental risks?

Yes.

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?

Presently, CSL does not have any project under Clean Development Mechanism.

5. Has the Company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc.? If yes, please give hyperlink for web page etc.

The Company has undertaken various initiatives like, installation of solar power plant having capacity of 1622 kWp, electrification of new buildings is carried out with LED lights instead of conventional discharge lamps, replacement of high electricity consuming light fittings with energy

efficient LED fittings, replacement of conventional split air conditioner system with VRF air conditioning system, use of energy efficient BLDC/ 5 star fans instead of ordinary ceiling fans, regular monitoring and rectification of leakages in the compressed air distribution system and other industrial gas lines, switching off air compressor during lunch break, switching off main power supply to shops, quays & docks momentarily at 12:00 hrs. which trips man coolers, roof extractors (controlled through starters), etc., which are not required during the lunch break, displayed energy saving stickers & posters, conducted seminar and quiz competition for inculcating awareness among employees for energy conservation aimed at optimum use of electric power, continuously monitoring and maintaining power factor near unity etc. These initiatives resulted in energy savings of approximately 3.38 Lakhs units per annum.

Further, CSL is undertaking transformative efforts on the innovative and new technology front including that on Green Energy, Alternate Fuels, Autonomy, etc. Towards this, CSL is building 23 Hybrid Electric Aluminium Catamaran Hull Vessels for the Kochi Water Metro Project, which is one of its kind, modern, technologically advanced, energy efficient and environment friendly boat and is expected to integrate the urban water transport system for the seamless transportation requirements of the Kochi citizenry. CSL is also executing the order for two Autonomous Electric Vessels for ASKO Maritime AS, Norway. The Project is an ambitious project in Norway partially funded by the Norwegian government as a part of a green shipping programme aimed at emission-free transport of goods across the Oslo fjords.

CSL in collaboration with indigenous partners and under the aegis of the Ministry of Ports, Shipping and Waterways is implementing a pilot project for design, development and construction of Hydrogen Fuel Cell Vessel based on Low Temperature Proton Exchange Membrane Technology (LT-PEM) also called Fuel Cell Electric Vessel (FCEV).

6. Are the emissions/waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes.

7. Number of show cause/legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.

In the financial year 2021-22, there are no pending CPCB/SPCB show cause/legal notices.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.

1. Is your Company a member of any trade and chamber or association? If Yes, name only those major ones that your business deals with:

- a) Indian Shipbuilders Association
- b) Indo Japan Chamber of Commerce
- c) Confederation of Indian Industry (CII)
- d) Cochin Chamber of Commerce and Industry
- e) All India Management Association
- f) The Federation of Indian Chambers of Commerce and Industry (FICCI)
- g) Standing Conference of Public Enterprises (SCOPE)
- h) Society of Indian Defence Manufacturers (SIDM)

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes, specify the broad areas (drop box: governance and administration, economic reforms, inclusive development policies, energy security, water, food security, sustainable business principles, others).

The above mentioned organisations act as a platform for CSL to address issues that might impact its stakeholders. CSL encourages participation in advocating policy level processes rather than lobbying on any specific issues.

Principle 8: Businesses should support inclusive growth and equitable development.

1. Does the Company have specified programmes/ initiatives/projects in pursuit of the policy related to Principle 8? If yes, details thereof.

As mentioned in the sections above, CSL's CSR projects aim at benefitting the community from low socio-economic strata across the state of Kerala and are identified as vulnerable. These projects are attempting for inclusive growth & equitable development of such communities.

2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/government structures/any other organization?

CSL largely collaborates with various NGOs, foundations, government agencies and other professional agencies for execution of the projects on the ground.

3. Have you done any impact assessment of your initiative?

Yes. Impact assessment is crucial to view the effect of the activity conducted. CSL conducts impact assessment as a part of the project for the majority of projects.

4. What is your Company's direct contribution to community development projects – amount in INR and the details of the projects undertaken?

In the financial year 2021-22, the contribution to community development projects was around ₹15 Crores. Please refer to the Report on CSR Activities forming part of this Annual Report.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

Engagement of the community is paramount for sustaining any community development program on ground. We ensure engagement of the community at the very planning stage and thereafter induct them at the implementation level. This not only ensures acceptance of the programme on ground but also its continuity and sustainability.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner.

1. What percentage of customer complaints/consumer cases are pending as on the end of financial year?

The Company's customers are large corporate houses, corporations both national and international or Ministries of the Central Government. During the year under review the Company has not received any complaints.

2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/No/N.A./Remarks (additional information)

Not applicable as it engages in shipbuilding and ship repair operations.

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on end of financial year? If so, provide details thereof, in about 50 words or so.

No cases have been filed by any stakeholders against the Company regarding unfair trade practices during the last five years.

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

Yes. All the contracted vessels are conducted with a customer satisfaction survey and feedbacks are taken from owners willing to share their experience. The surveys are conducted by an independent third party firm in order to have open & genuine feedback from the customer.

Customer satisfaction survey is conducted in two phases for the vessels contracted; one during construction phase (Phase I) and one after completion of warranty period (Phase II). Phase I is intended for an interim feedback during the ongoing construction stage, in order to identify any concerns from the owner during the construction phase. This also helps the Yard to understand the area of concerns (if any), and can initiate actions appropriately for improvements to the level of owner expectations. Phase II survey is after the delivery and the completion of warranty period of the vessel where owner would have

sufficient time to understand the performance & quality of construction, which will provide an overall perspective of their satisfaction for the new building contracted & delivered.

The surveys conducted cover all phases of construction starting from the pre-contract stage. Feedbacks are requested from owners regarding approachability, accessibility, quality of construction, overall technical capabilities of the Yard & post delivery services. The independent agency submits a report in each financial year for the surveys conducted and elaborates regarding the feedbacks from various clients, specifying the areas where Shipyard is performing well & areas where improvements are suggested. This independent report provides a scope to understand the strength & weakness of the Yard from the owner perspective and is much helpful while approaching the same client / similar clients.

Financial Statements